

Identities are most often stolen for financial gains. There happen to be other forms of identity theft, such as offering someone else's name as one's own when arrested—this is called criminal identity theft. But the vast majority of ID theft involves the transfer of an unfortunate person's money into the hands of a happy thief.

What, Me Worry?

It can happen to anyone. In fact, it happens to a staggering number of people; according to an estimate, one in twenty people in the US have had their identity stolen. One of the reasons for the proliferation of this crime is a large number of electronic transactions conducted on trust.

Say, you receive a cheque in the mail from a friend. You note down the bank routing number and the cheque number and make a call to your credit card company saying you want to pay your bill by cheque.

You can do this over the phone. You are simply required to state the routing number on the cheque you received from your friend, the next cheque number, and the amount the credit card company requires from you and of course, you say the chequebook is yours. Your payment will go through.

You have just paid for your bills using your friend's account, unknown to him. That's how simple it is! Of course, the person who sent you the cheque can easily track down where his or her money went, but this example just goes to show how very trust-based most bank transactions are—at least in the US.

For identity theft to occur, personal information must be obtained. In the US, the two prime pieces of personal information are the social security number and the mother's maiden name. This information can be uncovered—and usually is, when ID theft occurs—by going through someone's mail or trash, looking for bank and credit card statements, pre-approved credit offers and tax information. Other more direct ways include stealing information from a wallet or purse such as identification, credit or bank cards, completing change-of-address forms to redirect mail, and obtaining credit reports by posing as a landlord or someone who has a right to the information.

But it is not only data like lost Social Security numbers and credit cards that attract ID thieves. Sources of personal information that are publicly available include property records, court records and marriage and divorce certificates. ID thieves can not only rob your mailbox and hack into your computer, but also do things like monitoring your cordless phone and rummaging through low-key stuff like product-warranty cards.

The Internet opens up whole new avenues for identity theft—phishing included. A recent example involved the setup of a copy of part of the PayPal Web site to acquire members' personal details (See box: "How phishing works" on page 41). Trojans—viruses that remain resident on one's computer and can submit information to someone else—can monitor keystrokes to

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access passwords and other personal information. In fact, several virus attacks are intended just to track personal information.

A common phishing scheme involves e-mails that appear to be sent by your bank, requesting that you log in to your online account to confirm some details. You are meant to follow the links in the e-mail, to a fake page that appears to be a genuine online banking site. Some estimates say that phishers are able to convince up to five per cent of recipients to respond to their e-mails and take the intended action. In fact, computer-savvy people, too, get fooled by such e-mails.

The Internet, while providing resources for people to avoid ID theft, has also helped in its spread: the most frightening—and thorough—way of stealing an identity is by purchasing it at one of the many identity-search companies that have come up on the Internet. For as little as Rs 2,200, these companies sell people's Social Security numbers, mother's maiden names, home and employment addresses, previous addresses, credit history and more.

The Ways Of The World

Phishing, viruses and paid information apart, consider some of the multifarious ways of stealing identities:

❑ In a recent case in California, a hospital executive died. In the obituary was a lot of personal information like the mother's maiden name. An identity thief got the Social Security number of the deceased and used it to steal thousands of dollars from his widow.

❑ Ford Motor's customer credit reports, containing more than 13,000 records of identifying information such as Social Security, bank account and credit card numbers, had been lodged in a supposedly secure database at Experian, one of the three major credit bureaus in the US. Hackers bypassed security by posing as employees of Ford and got access to all the personal information.

❑ Even fingerprints can be reproduced and used. "If I steal your password, a credit card company can issue you a new password," says Chris Hoofnagle, legislative counsel for the Electronic Privacy Information Centre in Washington, DC. "But if people are able to lift a



Online Versus Offline ID Theft

Trevor Healy, vice-president, Payments at VeriSign, a California-based online certification agency that secures transactions, says: "Online fraud is very different from offline fraud. Online fraud is committed in three categories: online theft, which is virtual shoplifting; identity theft, stealing identities, so you can either sell those identities or actually use those identities for shoplifting; and cash theft.

"In the online world, what we are witnessing is that the level of scale is drastically different. In the offline world, if you steal an identity from a merchant's trash can if the merchant is silly enough to put credit card slips in there. You may get five or six cards and use those to create a fraud.

"But in the online world, if you break into a merchant's system, you could steal literally hundreds of thousands of identities. So the level of scale in the online world, if a fraud occurs, is much bigger. Everybody, though, is focused on product theft—the virtual shoplifting—first and foremost, and not on the other possibilities."